Corporation (GIC) and the PSBs put together. These monopolies were protected not only from domestic competition but also international competition by raising tariff walls to astronomical levels. They produced shoddy products at much higher costs compared to global costs.

Reservation of over 900 products for SSI, or small-scale industry, had the same effect. SSI is constrained by capital, both financial and human. India lagged behind in heavily labour-oriented industries like textiles on account of the inability of Indian industry to operate at scale. Likewise, many industries, fertilizer and sugar, for example, were subjected to an enormous amount of distribution control.

These monopolies and SSI reservations were abolished in Industry Policy 2.0. Gradually, private industry has come up in many areas earlier reserved for the public sector and some larger industries have also come to operate in areas earlier reserved for the small-scale sector. Much work in specific industries still remains to be done to obviate the inefficiencies and lack of competitiveness of the remaining public-sector monopolies.

Power distribution is still effectively a public-sector monopoly. While the states might have created fifty to sixty-odd companies in the power distribution business and some areas might have seen privatization of power, over 90 per cent of power is still supplied through state entities. The fertilizer industry also operates on concessional/cheaper gas being supplied to public-sector fertilizer entities. The government is still using budgetary resources to prop up high-cost fertilizer producing units. The distribution of petroleum products—diesel and petrol—is also a virtual monopoly leading to a strange pricing policy being followed in the country. Railways at the central level and bus transport at the state level, in many states, still operate as monopolies.

The government should reorganize all remaining industries and businesses that operate as monopolies or virtual monopolies to bring in